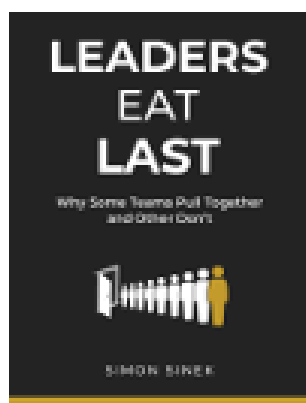




LEADERS EAT LAST

Why Some Teams Pull Together
and Others Don't

SIMON SINEK



The Big "So What"

Leadership isn't just about managing numbers. It's about helping people to thrive and find meaning in their work. When leaders take care of their people, the numbers will take care of themselves. Unfortunately, many leaders and organizations seem to have lost sight of this fundamental truth. In this book, Sinek explains where we've gone wrong, and puts out an urgent call for real leaders to step forth to make a positive difference.



Introduction

A company's biggest strength doesn't lie in its products/services. It always lies in its people—in their ability to cooperate closely and rally behind the organization, especially during a crisis.

However, loyalty and commitment must be earned. Today, work has become a contractual, transactional relationship in many organizations. Intense competition and layoffs are the norm. Hardly anyone believes in loyalty to a company anymore, much less lifetime employment. Mercer found that over 6 months, one-third of employees considered leaving their jobs, though only <1.5% actually did so voluntarily. People who're unhappy with their work perform sub-optimally and are more prone to depression and anxiety. Yet, they'd rather stay in their jobs rather than risk the uncertainty of a new environment.

What does it take for leaders to inspire true loyalty and outstanding results? In this summary, we'll address this in 3 parts:

- The human need for safety;

KEY QUOTES

"The true price of leadership is the willingness to place the needs of others above your own."

—LTG George Flynn (Ret)

"The best companies almost always make it through hard times because the people rally to make sure they do."

"Our intelligence gives us ideas and instructions. But it is our ability to cooperate that actually helps us get those things done."

- A society out of balance; and
- Becoming a leader.



Part 1: The Human Need for Safety

Human beings thrived as a species because our brain's neocortex allows us to create, invent, plan, and organize ourselves in complex ways to pass on knowledge and shape our environments. **Our survival hinges on our ability to operate in social groups.** During prehistoric ages, humans depended on their tribes for food, shelter and protection. Even though our environments and organizations have changed drastically, our biological makeup still remains similar.



The 4 Chemicals (E.D.S.O.)



Each of us is concurrently an individual and a part of social groups. For example, Jane may have her own interests and ambitions, but she's also a member of her family, an American, a Man-U fan etc. **We make daily decisions that require us to weigh our self-interests against group interests.**



This dilemma also happens in our bodies via 4 key chemicals:

- Endorphins are released when you're exercising or laughing. They produce a temporary "high" and numb your pain, so you can relax and/or give yourself a boost.
- Dopamine delivers a sense of satisfaction when you find/get what you're looking for, e.g. when you accomplish a goal. This encourages you to find/develop solutions, achieve results and repeat what works, thus driving progress. The bigger the achievement, the greater the satisfaction.
- Serotonin brings feelings of pride, strength and confidence when we're liked or respected by others. This is why we crave others' approval and seek awards/recognition. We also feel grateful or obliged to people who've helped us to succeed. When you contribute to others, you gain status and respect.

KEY QUOTES

"We are at our best when we face danger together."

"Human beings exist as individuals and as members of groups at all times. I am one and I am one of many . . . always."

"During tense times, a little lightheartedness may go a long way to help relax those around us and reduce tensions so that we can focus on getting our jobs done."

"Oxytocin and serotonin grease the social machine. And when they are missing, friction results."

- Oxytocin comes with the feeling of deep trust, friendship or love. It's the reason we crave human connections and a sense of belonging. Unlike dopamine (which is more about instant gratification), oxytocin has a longer-lasting impact. It's triggered via physical contact (e.g. hugs, handshakes, high-fives) or when we help others. When we trust someone, we're more likely to open up to them, share and cooperate, which in turn triggers more oxytocin to deepen the bonds. Oxytocin brings many health benefits including improved immunity and a longer lifespan.



The 4 chemicals are Nature's way to help us survive, by balancing our personal drive and social needs.

- Endorphins and dopamine drive us to satisfy our personal needs, e.g. to find food/shelter, develop solutions and persevere through problems. They help us to get things done so we can survive.
- Serotonin and oxytocin encourage us to work together with others. They build feelings of trust, camaraderie and loyalty, strengthen our social bonds and increase our inclination to cooperate with others to achieve what we can't on our own.
- On the other hand, Cortisol is the stress-related hormone that's triggered when we sense danger. It keeps us in a heightened state of alertness until the danger has passed. It's not meant to stay in our system for a prolonged period, since it reduces our focus, cognitive abilities and immunity, while increasing our aggression and blood pressure. When we're stressed, Cortisol floods our systems to (i) hinder the release of oxytocin (making us less empathetic and more selfish) and (ii) damage our health.



Traditionally, our family provides a Circle of Safety where we feel safe and supported. Inside the circle, we have a healthy balance of E.D.S.O. and low Cortisol levels.

- In organizations, the Circle provides people with a sense of belonging and security. People feel valued and cared for, and trust that others will act in their interests. This facilitates communication, cooperation, problem-solving and innovation, allowing people to direct their attention to external threats and opportunities.

KEY QUOTES

"Whereas oxytocin boosts our immune system, cortisol compromises it."

"Stress and anxiety at work have less to do with the work we do and more to do with weak management and leadership."

- By contrast, when people feel threatened by internal politics and infighting, they turn their attention inward to focus on self-preservation, making the group more vulnerable as a whole.



Hiring someone should be like adding a new member to your family. You must set stringent standards for the type of people you'll accept. **Once they're a part of the family, you don't simply kick them out when the going gets tough. You must give loyalty to earn loyalty.**

- Technology company Next Jump made the bold move to declare a lifetime employment policy. This forced them to be extremely selective about who they hired and to commit to each employee's growth and success. Next Jump's average revenue grew from 25% to 60%, and turnover for their engineers fell from 40% to 1%. Their top employees stayed with the company even when they were offered jobs by Google or Facebook.
- When the stock market crashed in 2008, Barry-Wehmiller didn't simply lay off people. They confronted the challenge as an organization, with everyone taking 4 weeks of unpaid leave. People survived the crisis together and became fiercely loyal to the company and its leaders.



The Role of Leadership



To function effectively, all social groups need hierarchies and leadership. And in any culture, some people will have more authority and privileges than others. In fact, we value symbols of success, power and strength, seek to move up the social ladder and gain others' respect.

KEY QUOTES

"Being a leader is like being a parent, and the company is like a new family to join."

"Cooperation and mutual aid work better than competition and rugged individualism."

- Leadership is a responsibility, not an entitlement. True leaders earn their place by making personal sacrifices for the community. Leaders who protect their people are in turn accorded respect and perks. Leaders who further their own interests without looking after their people violate those expectations.
- Weak leaders create fiefdoms and distrust by focusing on their own interests and those of a privileged few in their inner circle. Strong leaders include everyone in the Circle of Safety. The larger the organization, the more crucial it is for leaders to (i) establish clear standards for how people can enter the Circle, and (ii) keep expanding the Circle.



Trust must be reciprocal. It's not about shared opinions, but a belief that the other party is willing to put your well-being first. Leaders must make the most sacrifices and be willing to eat last.

- Great leaders train people, equip them with tools, skills and confidence, then step back and trust their people to do what they should. This includes knowing when to break the rules for the safety and good of the community.
- On the other hand, when leaders insist on rigid rules and controls, people end up following the rules just to stay out of trouble, instead of finding creative ways to achieve the mission.



Part 2: A Society Out of Balance



Each of the 4 E.D.S.O. chemicals play important roles in our survival. When they're in balance, people thrive the way they're designed to, and their groups/organizations thrive too.



Unfortunately, the modern workplace tends to be flooded with Cortisol and dopamine-addiction. We lack Circles of Safety and have become imbalanced due to several related reasons—abstraction, destructive abundance and social changes.

KEY QUOTES

"To earn the trust of people, the leaders of an organization must first treat them like people. To earn trust, he must extend trust."

"Trust is like lubrication. It reduces friction and creates conditions much more conducive to performance."

"We don't just trust people to obey the rules, we also trust that they know when to break them."



Abstraction and Dehumanization



In small traditional communities, it's easier to know one another, and to see/touch the things we use. However, today we're surrounded by global systems and virtual interactions which make things abstract and harder to grasp. Yale psychologist Stanley Milgram ran a series of experiments to understand the impact of abstraction and authority:

- “Teachers” (recruited from newspaper ads) were told to ask “students” (scientists pretending to be volunteers) a series of questions. Each time they got a wrong answer, the teachers administered an electric shock in progressively higher voltages. Whenever a teacher expressed concern, a “scientist” standing behind would urge them to continue the experiment.
- The students pretended to show signs of discomfort and eventually screamed for the teachers to stop. There were 3 variations: (i) where the teacher personally placed the student's hand in the shock plate and could see/hear the student's reactions, (ii) where the teacher could only hear the student's reactions from a separate room, and (iii) where the teacher couldn't see/hear the student's reactions at all.
- In the first 2 variations, most of the teachers refused to continue after a while. But in the last variation, 65% completed the experiment, even though the voltages they administered would've clearly been dangerous or fatal. In addition, none of those teachers asked about the students' welfare—they were only concerned with absolving themselves of blame (e.g. justifying that they were merely following orders).



This experiment shows how dangerous abstraction can be. **When we don't see/hear the people we affect, we're capable of monstrous acts.**

- As organizations get bigger and more global, people get reduced to a metric or a label. We think of people as “customers”, “employees” and “shareholders”, not individual human beings. When we can't see/hear the impact of our actions on others, we feel detached from the consequences.

KEY QUOTES

“By its very nature, scale creates distance, and at distance, human concepts start losing their meaning.”

“The more abstract people become, the more capable we are of doing them harm.”

“When we divorce ourselves from humanity through numerical abstraction, we are...capable of inhuman behavior.”

We're more likely to act selfishly (e.g. cut corners or tell half-truths to achieve our goals) or even hurt others directly.

- In weak cultures, this is worsened by people blindly following orders and hiding behind excuses like "there's nothing I can do" or "this is company policy". Leaders can also get so lost in metrics and systems that they forget to lead people.



Destructive Abundance



We only value something if it's scarce and we must work hard for it. Today, we have electricity, food, clean water, roofs over our heads, and so many tools (from computers to air travel) that we take things for granted. We live with such excesses that 50% of food globally is wasted, both in the developing and developed world.



Throughout history, when a group moves from scarcity to surplus, those with the most resources will try to shape their environment to protect their own interests, e.g. large corporations lobbying for legislation to keep out competitors. This often ends with "destructive abundance", where the players are so preoccupied with winning that they forget why they're in the game to begin with.



Many leaders have become so blinded by commercial interest that they've forgotten who they're supposed to serve. For example:

- In 1933, the Banking Act was passed to mitigate speculation and risk-taking in the industry, after half the banks in US collapsed in the 1929 stock market crash. Unfortunately, those laws were repealed in 1999 after heavy lobbying by the banking industry. The 2008 crash occurred because of reckless risk-taking by financial institutions which could've been prevented if the Act was still in place.
- TV news used to be about causes and presenting opposing viewpoints. With the removal of the Fairness Doctrine in 1987, news organizations now prioritize stories that drive viewership and ad revenues, instead of truly important or balanced news.

KEY QUOTES

"The end users....become so far removed from the people who mean to serve them that they simply become just another metric to be managed."

"Abundance destroys value."

"In healthy organizations, as in a healthy society, the drive to win should not precede the desire to take care of the very people we claim to serve."



Social Changes



The Boomer Generation. In the 1950s, it was common for people to work for 1 company for life and be rewarded with a pension upon retirement. This was also the start of the post-WWII Baby Boom.

- The Boomers grew up in a time of growth and prosperity, unlike their parents who had suffered economic depression and war. They rebelled against their parents' values of hard work and loyalty, advocated free choice and individualism, and distrusted the government.
- By the 1980s, the Boomers had matured and were holding influential positions. Their cynicism and self-centeredness shaped business, politics and economies. People had grown used to a lifestyle of excesses and were preoccupied with safeguarding their accumulated wealth and affluence. They also developed the habit of using disposables, from cameras to contact lenses. Before long, people become disposable too.
- In 1981, President Ronald Reagan fired >11k air traffic controllers who'd gone on strike. This sent a strong signal that mass layoff was an acceptable solution to economic disruption. Since then, layoffs (which used to be a measure of last resort) became increasingly common across all sectors.
- Progressively, commercial interests were prioritized over people's loyalty and cooperation. Past contributions and hard work no longer guaranteed long-term employment, and people no longer felt the same commitment to their companies.



The Dopamine-Addicted Generations. The Boomers in turn brought up the Gen-Xers and Gen-Ys. Both generations grew up in times of abundance, believe they can get whatever they want, and suffer from dopamine-addiction.

- Gen X is addicted to performance. Many grew up before the internet revolution, seeking bigger salaries, titles, houses, cars and success symbols.

KEY QUOTES

"If Boomers get their dopamine from goals oriented around 'more' and 'bigger,' then Gen Y is getting their dopamine from anything that satisfies 'faster' or 'now.'"

- Gen Y is addicted to social media and technology. They're chronically impatient, being so used to instant gratification (e.g. online purchases and live messages) that they also expect instant success and fulfillment. They're used to excessive consumption and are constantly distracted. Gen Ys also feel isolated and lonely. They seek connections and affirmations through virtual relationships which simply don't provide the same fulfillment from deep, trusting and face-to-face connections.



Part 3: Becoming a Leader



Today, we're surrounded by abstraction, destructive abundance, and dopamine-addiction. We're out of balance, and the trend will only get worse as technology progresses and Gen Ys mature to take on leadership roles.

- Our younger generation is so used to relying on social media, online support groups and drugs to cope with problems that they don't even know how to build the real human connections needed for their survival and well-being. They often try to solve problems by creating awareness instead of investing time/effort to understand people and get things done.
- People are also feeling increasingly isolated without Circles of Safety. Suicide rates in America have risen so sharply in the last decade that more people are now dying of suicides than car accidents.



The good news is: since we're the source of this problem, we can also fix it. Leaders have the power to create Circles of Safety and positive work environments. All it takes is a decision to do so.



5 Rules for Overcoming Abstraction

When we read about 1 person's suffering, we tend feel empathetic. When we read about disasters that involve thousands, we feel distanced. That's the difference between looking at people vs numbers.

KEY QUOTES

"The plight of others is not a technology problem; it's a human one. And only humans can solve human problems."

"We are not victims of our situation. We are the architects of it."

*"The death of one man is a tragedy. The death of a million is a statistic."
—Joseph Stalin*



Bring people together to build real relationships. The internet is good for quick communication and simple relationships. But, no amount of virtual interactions can replace our need for face-to-face connections and deep human bonds. That's why bloggers still attend conferences, and why we go for sports matches and concerts. People also tend to behave differently online, since the anonymity accorded by the internet distances them from the consequences of their actions. Make virtual relationships real by bringing people together physically.



Keep groups manageable with Dunbar's 150 rule. Professor Robin Dunbar found that human beings can only handle about 150 close relationships at any point in time. Even if you have a huge virtual network, you'll only know a small group of people well, and you're more likely to help those whom you know personally. In large organizations, it's impossible to know everyone. Empower managers at every level to personally care for and take responsibility of the people in their charge. Instead of 1 big Circle of Safety, build smaller Circles (≤ 150 each) in multiple layers.



Meet the people you serve. A university raised 4x more money after scholarship recipients shared with the fund-raisers how they've been impacted by the scholarships. When people can see how their work helps others, they're motivated to work harder and better.



Give people time, not just money. During a rough patch, you'd appreciate a friend who gives you money, but you're more likely to remember a friend who spends time and effort to help you. That's because money is still an abstract concept. However, everyone only has 24 hours a day, so any time spent with/on you is a clear sacrifice. However, for the time to matter, it must come with commitment. e.g. it doesn't work if you're with someone but are messaging on your phone the whole time.



Relationships take time. It can take anything from 7 days to 7 years to get to know and trust someone. Be patient.

KEY QUOTES

Just as money can't buy love, the Internet can't buy deep, trusting relationships."

"There is no such thing as virtual trust."

"The larger the group of people we work with, the less likely we are to develop any kind of trusting relationships with them."

"It makes sense for social animals that our sense of purpose is always human."



Overcoming Destructive Abundance

To build strong organizations, leaders must remember 5 key lessons.



Culture drives Results. When we identify with a group or culture, we adopt their shared beliefs and values, e.g. you start to think of yourself as a Harvard graduate, a Navy SEAL etc.

- In strong cultures with a strong identity, people feel a sense of pride and belonging and will do what's right for the group. The Taj Mahal Palace Hotel hired people for respect and empathy, and reinforced those values through training and rewards. They built such a strong culture of putting guests first that when terrorists attacked Mumbai in 2008, the Taj employees risked their lives to protect the guests.
- In weak cultures, people focus on their personal interests instead of group interests. In a culture plagued by mistrust, people withhold info and resources, keep others down and try to reap personal rewards. The organization suffers as a result. In the 1970s, Goldman Sachs was reputed for putting their clients' interests over short-term gains. But the culture had changed by the 1990s after they hired many aggressive bankers driven by wealth and status. By 2010, their reputation hit rock bottom due to their involvement in the mortgage-backed crisis.



Leadership drives Culture. A leader's true power doesn't come from his title, power or knowledge. Great leaders lead by example to share resources, empower others, flag out and resolve problems/mistakes openly, and create a safe space for people to focus on the organization's interests. Tyrants, on the other hand, are obsessed with their own power, wealth, and control. They try to protect themselves, only to create isolation, distrust and paranoia.

- Captain David Marquet transformed the Santa Fe from the worst to the best submarine in the fleet by nurturing leaders at all levels. He decentralized decision-making while equipping people with the skills, knowledge, and accountability for results. For example, instead of asking for permission ("Can I..."), he trained every crew member to share their intended plan of action ("I intend to..."). That

KEY QUOTES

"Just as our character defines our value to our friends, so too does the culture of a company define its value to those who know it."

"Responsibility is not doing as we are told, that's obedience. Responsibility is doing what is right."

*"The goal of a leader is to give no orders...Leaders are to provide direction and intent and allow others to figure out what to do and how to get there."
—Captain Marquet*

way, each crew member owned their actions yet leaders were still ultimately responsible for results.



Integrity matters. We must be able to trust our leaders to do what's right, and there can be no trust without integrity. Integrity is about firmly adhering to certain moral, artistic or other code/values. This includes honesty, owning up to your mistakes and ensuring your words are consistent with your actions.

- When the Titanic set sail in 1912, the laws hadn't been updated for large vessels. On paper, Titanic carried the minimum number of lifeboats required by law. In reality, they should've had 4x more lifeboats for their capacity. More than 1500 people died when Titanic struck an iceberg on its maiden voyage. Sadly, it's common for corporations to deliberately exploit loopholes for their commercial interests. It's like saying you can cheat on your spouse so long as you don't violate any marriage rules.
- In the U.S. Marines, you can only become an officer if you prove you have character. A key consideration is whether someone will take responsibility for their actions/mistakes proactively (not only if they get caught). Genuine mistakes are acceptable, but dishonesty isn't.
- Apply the foxhole test. Would you jump into a foxhole with the people you work with? Can you trust them with your life?



Friendship facilitates cooperation. When you see someone as an adversary, it's hard to work together. To improve an antagonistic relationship, all it takes is the opportunity for people to get to know one another as real people. Once people can see/listen to each other as human beings, it lays the foundation for cooperation.

- In the 1960s-80s, members of the Congress (both Democrats and Republicans) worked well together. Members interacted regularly after work hours and formed personal relationships that facilitated cooperation despite their political differences. However, the Congress became progressively divided since the 1990s. By 2008, the polarization was so acute that leaders were pointing fingers at one another instead of addressing the economic crisis.

KEY QUOTES

"Leadership is about integrity, honesty and accountability. All components of trust."

"When we cannot trust the very people who are supposed to be responsible for us, bad things occur."

"Cooperation doesn't mean agreement, it means working together to advance the greater good, to serve those who rely on our protection, not to rack up wins to serve the party or ourselves."

- Several progressive Congress leaders tried to bridge the gulf by arranging for members to meet over a series of retreats. The friendship between Democrat Steph Sandlin and Republican Bob Goodlatte also facilitated cooperation between 2 groups.



Lead People, not Numbers. In theory, when companies focus on maximizing profits and shareholder value, they'll create more jobs and economic growth. In reality, long-term success comes from serving a wider goal and building the right foundations, not directly focusing on numbers.

- In the 80s and 90s, famous leaders like Jack Welch (General Electric) and Roberto Goizueta (Coca-Cola) started to build companies that maximized shareholder value. This was the start of an era of billionaire CEOs, where a small group of shareholders and executives often benefitted at the expense of others.
- At the extreme, executives cut corners/expenses or even manipulated the accounts to drive short-term numbers. People became expendable resources, survival instincts kicked in, cultures deteriorated and results tanked in the long run.
- Truly great leaders don't just drive results during their tenure—they build lasting organizations that continue to thrive after they step down. Welch grew GE's sales from \$26.8bil to \$130bil, firing the bottom 10% of GE managers each year and rewarding the top 20%. On the other hand, James Sinegal grew Costco by building a family-like culture where people were rewarded for great solutions instead of outdoing one another. After the 2 leaders stepped down, GE's share price plummeted, while Costco's continued to grow steadily.
- A strong leader who directs and controls a team may deliver short-term results. But in the end, lasting results are delivered by leaders who invest in empowering and equipping people at all levels of the organization.

KEY QUOTES

"Numbers of people aren't people, they're numbers."

"Leadership is about taking responsibility for lives and not numbers. Managers look after our numbers and our results and leaders look after us."

"The impact of leadership is best judged over time."

"Legacy is not the memory of better times when the old leader was there. That's not legacy, that's nostalgia."

"Customers will never love a company until the employees love it first."



We need Leaders who Eat Last



Human-to-human connections are extremely powerful: they give us the strength to endure hardships, and motivate us to work with others to achieve even more.

- If you stop to reflect on your best moment at work, it's likely to involve a challenge that you overcame with a team. You'll remember the warm, satisfying feelings of camaraderie and connectedness.
- More than ever, we need leaders to create Circles of Safety and lead by example to create positive work environments. Alcoholics Anonymous (AA) meetings are so successful because they act as a Circle of Safety for alcoholics. However, such meetings must be done face-to-face, and the alcoholics must complete 1 final step to succeed—they must commit to help another alcoholic to overcome the addiction. That's the power of human connections.



In an age of abundance, leaders must provide a compelling cause for people to rally behind.

- Small companies are often more innovative than big corporations because they have less resources. Leaders must reframe the external challenges and opportunities to ensure they're proportionate to the size of the organization.
- Inspire people with a concrete vision of something that doesn't yet exist (e.g. Microsoft's vision of having a PC on every desk), and ensure the challenge is bigger than your available resources.



Other Details in the Book to Look out For

This is not a "how-to" book about leadership techniques, but one that offers a fundamentally different perspective and approach to leadership. Sinek offers many detailed examples and stories of leaders in all walks from the military to politics and businesses. For more details, please visit <https://simonsinek.com/>.

KEY QUOTES

"Whenever there is a...real, true, honest human...we seem to find the strength to endure—and the strength to help."

"Though it may take small steps to make a big leap, it is the vision of the big leap and not the action of the small steps that inspires us."

"Let us all be the leaders we wish we had."